

PB10 Contract 01 - Cloud Service Provider Due Diligence Playbook Demo Agreement

This synthetic agreement is between Siemens Legal Operations and Commercial Counterparty 01. It is generated for Lou contract review demos and is not legal advice.

1. Commercial Background.

The parties are entering a transaction governed by playbook PB10: Cloud Service Provider Due Diligence Playbook. The commercial purpose is: Outlines the process for conducting due diligence on cloud service providers to ensure compliance and security standards.

2. Cloud SLA performance metrics and penalties.

Preferred drafting position: SLA includes specific performance metrics with clear penalties. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

3. Data sovereignty and jurisdictional compliance.

Preferred drafting position: Provider operates in jurisdictions compliant with data sovereignty laws. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

4. Data encryption standards and key management.

Fallback drafting position: Provider uses non-standard encryption with provider-managed keys. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

5. Data breach notification timelines and procedures.

Escalation issue: Provider has no breach notification timelines or procedures and no remediation plan. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

6. Data portability and transferability rights.

Preferred drafting position: Provider allows data portability and transferability with clear procedures. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

7. Data residency and location requirements.

Preferred drafting position: Provider guarantees data residency in specified jurisdictions. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

8. Data retention and deletion policies.

Fallback drafting position: Provider has general data retention policies but no deletion policies. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

9. Data use and processing restrictions.

Preferred drafting position: Provider restricts data use to agreed purposes and processing methods. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

10. Operational Exception.

The supplier may use experimental workflow tooling for internal reporting without prior written approval, provided no regulated data is exported. This clause is intentionally outside some playbook coverage so Lou can surface unmapped review findings.

11. Signatures.

The parties agree to the terms above through duly authorized representatives.